

Applicable Law (UCC vs. Common Law)

- **Predominant Purpose Test:** For hybrid contracts mixing goods and labor, determine whether the core value is the physical item or the service; if goods dominate the price, UCC Article 2 governs the whole contract, but if labor dominates, Common Law governs.
 - *Example:* A builder buys 500 custom doors for \$40,000 with a \$10,000 installation fee (\$50,000 total); because the doors make up 80% of the cost, UCC Article 2 controls the entire dispute.
- **Used Goods Are Still Governed by the UCC:** Any transaction for movable physical items—including secondhand inventory or private used car sales between non-merchants—is governed by the UCC, not Common Law.
 - *Example:* A neighbor agrees to sell her used sedan to a friend for \$2,000; because an automobile is a movable good, UCC Article 2 governs even though neither party is a dealer.
- **Real Estate and Construction Are Common Law:** Contracts to purchase land, commercial leases, and building or home repair contracts are strictly governed by Common Law.
 - *Example:* A homeowner hires a painter to paint a house for \$5,000; because painting is a service, Common Law controls the contract.

Offer, Revocation & Option Contracts

- **Advertisements and Catalogs:** Advertisements and catalogs are presumed to be non-binding invitations to deal, unless they are clear, definite, leave nothing open to negotiation, and state who can accept.
 - *Example:* An ad reading "10 Brand New 65-inch TVs Left! \$100 each! First come, first served. Saturday at 8:00 AM" is a binding legal offer to the first person in line.
- **Real Estate Missing Price Kills Formation:** Under Common Law land contracts, omitting the agreed purchase price prevents contract formation even if the property's fair market value is known.
 - *Example:* Two real estate merchants sign a purchase memo with all terms except the sale price; the agreement is void for indefiniteness under the Statute of Frauds.
- **Missing Price in UCC Sales (Gap-Filler):** Leaving out the price term in a contract for goods does not kill the deal; courts plug in a gap-filler setting a reasonable price at delivery.
 - *Example:* A retailer orders 500 steel brackets without listing a price; the contract is enforceable, and the court requires the buyer to pay the reasonable market price upon delivery.
- **Revocability of Common Law Offers:** An offeror can revoke an offer at any time before acceptance—even if they promised in writing to hold it open—unless the offeree paid consideration to buy an option.

- *Example:* A seller writes, "I will hold my tractor offer open until Friday," but the buyer pays nothing to hold it open; the seller can revoke on Wednesday.
- **Nominal Consideration Supports Options:** Paying a nominal sum (like \$10) to hold an offer open creates a valid option contract that prevents the offeror from revoking before the deadline.
 - *Example:* A buyer gives a landowner \$10 cash to keep a \$500,000 farm offer open until Friday; the seller cannot revoke the offer or sell to someone else before Friday.
- **Options Are Immune to Rejections:** An offeree holding a paid option does not kill their power of acceptance by making an interim rejection or counteroffer, unless the offeror materially relied on the rejection.
 - *Example:* A buyer pays \$500 for a 6-month option, mails a rejection in Month 2, but changes his mind and accepts in Month 4; the acceptance is valid because the option stayed alive.
- **Merchant Firm Offer Rule:** A merchant's signed, written promise to hold an offer for goods open is irrevocable without consideration, but only up to a maximum of 3 months.
 - *Example:* A manufacturer writes and signs an offer promising to hold a widget price open for 6 months without consideration; the offer becomes revocable after Month 3.
- **Unilateral Contract Rewards:** Performing the requested act (like returning a lost pet) does not form a binding unilateral contract if you performed without knowing about the reward beforehand.
 - *Example:* A neighbor finds a lost dog and returns it out of goodwill, only learning about a \$500 reward flyer the next day; the owner owes no reward.
- **Beginning Performance on Unilateral Offers:** The moment an offeree begins actual performance on a unilateral offer, an implied option is created that stops the offeror from revoking.
 - *Example:* An owner offers \$500 to anyone who paints his garage; once a painter begins scraping the old paint off the walls, the owner cannot revoke the offer.
- **Mere Preparation vs. Beginning Performance:** Buying supplies or traveling to a site is mere preparation, not beginning performance, but it may support reliance damages under promissory estoppel.
 - *Example:* A painter buys paint at a hardware store for a unilateral garage-painting offer; the owner can still revoke the offer before the painter arrives and touches the wall.
- **Unilateral Offers Cannot Be Accepted by Promise:** If an offer explicitly calls for acceptance by an act, merely promising to do the job does not form a contract.
 - *Example:* A homeowner shouts, "I'll pay \$1,000 to anyone who catches the thief who robbed my garage"; a bystander replying "I'll catch him for you" creates no contract.

- **Subcontractor Bids Create Irrevocable Options:** A general contractor who uses a subcontractor's bid to win a project creates an irrevocable option via promissory estoppel, but loses that protection if they bid-shop for a lower price after winning.
 - *Example:* A general contractor wins a job using a plumber's \$100,000 bid, but then calls the plumber demanding he drop to \$85,000; the plumber can freely revoke the bid.
- **Obvious Bidding Errors Preclude Estoppel:** A general contractor cannot enforce a subcontractor's bid via promissory estoppel if the bid was so low that the general contractor had reason to know it was a clerical mistake.
 - *Example:* A plumber accidentally bids \$10,000 instead of \$100,000 when all other bids are over \$105,000; the general contractor cannot enforce the \$10,000 bid.
- **Indirect Revocation via Reliable Third Parties:** An offer terminates the moment the offeree learns from a reliable source that the offeror took definitive action inconsistent with the offer.
 - *Example:* A buyer visits a gallery to accept an offer on a painting, but sees it has already been delivered to a neighbor who just bought it; the offer is terminated.

Acceptance & Battle of the Forms

- **The Mailbox Rule:** An acceptance is effective the instant it is properly addressed and mailed, whereas revocations and rejections are effective only upon receipt.
 - *Example:* A buyer drops an acceptance letter in the mail on Thursday morning and receives the seller's revocation letter on Thursday afternoon; a binding contract was formed on Thursday morning.
- **Mailbox Rule Exception for Option Contracts:** The mailbox rule does not apply to option contracts; an option acceptance must be received on or before the agreed deadline.
 - *Example:* A buyer with an option expiring Friday at 5 PM mails an acceptance on Thursday, but the seller receives it Saturday; the acceptance is late and invalid.
- **Intersecting Dispatches (Rejection Sent First):** If an offeree mails a rejection first and then mails an acceptance, the mailbox rule is suspended; whichever letter arrives first controls.
 - *Example:* A buyer mails a rejection on Wednesday and an acceptance on Thursday; if the seller opens the acceptance on Friday and the rejection on Saturday, a valid contract is formed.
- **Common Law Mirror Image Rule:** For real estate and service contracts, an acceptance must match the offer exactly; adding or changing any term acts as a rejection and counteroffer.
 - *Example:* A seller offers to sell a house for \$300,000; the buyer replies, "I accept, provided you include the refrigerator"; this is a rejection and counteroffer.

- **UCC Battle of the Forms Between Merchants:** Additional terms in a merchant's acceptance become part of the contract unless the offer limited terms, the recipient objects, or the term materially alters the deal (like an arbitration clause).
 - *Example:* A buyer sends a purchase order for widgets; the seller's acknowledgment adds a mandatory arbitration clause; the contract is formed, but the arbitration clause drops out.
- **UCC Battle of the Forms with a Non-Merchant:** If either party is a non-merchant, additional terms in the acceptance do not enter the contract and are treated merely as separate proposals.
 - *Example:* A consumer buys a bicycle online; the seller's confirmation slip adds a term requiring payment by money order; the contract stands on the original terms without the payment term.
- **Expressly Conditional Acceptance Language:** If an acceptance states that assent is "expressly made conditional" on the other party agreeing to new terms, it operates as a counteroffer.
 - *Example:* A seller sends an acknowledgment stating, "Acceptance is expressly conditioned on your assent to our warranty disclaimer"; no contract is formed on the writings.
- **The UCC Knockout Rule for Conflicting Terms:** When merchant forms contain directly contradictory terms, the conflicting terms knock each other out and standard UCC gap-fillers take their place.
 - *Example:* A buyer's form selects New York courts for disputes, while the seller's form selects California; both terms drop out and standard jurisdictional rules apply.
- **UCC Acceptance by Prompt Shipment:** An order requesting prompt shipment of goods can be accepted either by a prompt promise to ship or by prompt shipment of conforming or nonconforming goods.
 - *Example:* A retailer orders 1,000 coffeepots for immediate delivery; the manufacturer ships them two days later, forming a contract on the date of shipment.
- **Nonconforming Shipment with Accommodation Notice:** Shipping nonconforming goods is an acceptance and breach unless the seller seasonably notifies the buyer that the goods are an accommodation, which makes the shipment a counteroffer.
 - *Example:* A buyer orders 500 red mugs; the seller sends 500 blue mugs with a note stating, "These are sent as an accommodation because we are out of red"; this is a counteroffer, not a breach.
- **Shrinkwrap and Rolling Contracts:** Terms packaged inside a product box become part of the contract if the buyer gets notice, has a chance to return the item for a refund, and chooses to keep it.
 - *Example:* A buyer installs software from a box containing a pamphlet requiring arbitration or return within 30 days; keeping the software past 30 days binds the buyer to arbitration.

- **Implied-in-Fact Contracts from Conduct:** Silently accepting valuable services having had an opportunity to reject them, knowing the provider expects pay, forms an implied-in-fact contract at their standard rate.
 - *Example:* A homeowner lets a tutor teach her writing for an hour a week for four weeks knowing the tutor charges \$50/hour; an implied contract is formed at \$50/hour.

Consideration & Modifications

- **Legal Detriment (*Hamer v. Sidway*):** Giving up an activity you have a legal right to do constitutes valid consideration, even if doing so benefits your physical health.
 - *Example:* An uncle promises his niece \$5,000 if she refrains from smoking until age 21; giving up her legal right to smoke is valid consideration.
- **Past Consideration Is No Consideration:** Acts performed in the past without an expectation of pay cannot serve as consideration for a new promise to pay money or a pension.
 - *Example:* A boss promises an employee a \$1,000/month pension "in recognition of your 30 years of past service"; the promise lacks consideration because the work was already performed.
- **Moral Obligation Exception:** A promise to pay for a past material benefit is unenforceable for lack of consideration, unless recognized under the narrow moral obligation doctrine for emergency life-saving aid.
 - *Example:* An assistant jumps down an airshaft to save his employer's life, and the employer later promises to pay a lifelong monthly bonus; the assistant's only possible claim is the moral obligation doctrine.
- **Preexisting Duty Rule (Common Law):** Performing a duty you are already legally obligated to do cannot serve as consideration for an extra bonus or price increase.
 - *Example:* Workmen on a salmon-canning ship refuse to work on the return voyage unless given a pay raise; the captain's promise to pay more is unenforceable due to their preexisting duty.
- **Unforeseen Difficulties Exception to Preexisting Duty:** An oral common law modification is enforceable without fresh consideration if it is a fair adjustment to severe, unanticipated difficulties.
 - *Example:* A contractor hits unforeseen solid bedrock behind a kitchen wall that costs an extra \$5,000 to remove; the homeowner's oral promise to pay the extra \$5,000 is enforceable.
- **Internal Calculation Errors Are Not Unforeseen Difficulties:** A contractor's own bidding or math mistake is not an unforeseen difficulty, making a price increase unenforceable without new consideration.

- *Example:* An electrician miscalculates his bid by \$20,000 and demands a price increase to finish; the general contractor's promise to pay the extra money lacks consideration.
- **Preexisting Duty Owed to a Third Party:** Promising a third party to perform a duty you already owe to someone else is valid consideration to support the third party's promise to pay.
 - *Example:* A school district promises a subcontractor an extra \$20,000 to finish an electrical job the subcontractor already owes to a general contractor; the promise is enforceable.
- **UCC Modifications Require Only Good Faith:** Modifications under the UCC need no consideration if requested in good faith due to market shifts or unanticipated inflation.
 - *Example:* A printer seller asks to increase the price from \$500 to \$550 due to sudden tech-sector inflation, and the buyer agrees in writing; the modification is valid without consideration.
- **Common Law "No Oral Modification" (NOM) Clauses:** In Common Law service contracts, a clause requiring all amendments to be in writing fails because the parties can orally waive the clause.
 - *Example:* An excavation contract states "all amendments must be signed in writing"; the owner's oral agreement to pay extra for unforeseen toxic waste waives the clause.
- **Promissory Estoppel as a Consideration Substitute:** If a promise lacks consideration, courts enforce it when the promisor foresaw detrimental reliance and the promisee suffered substantial economic harm.
 - *Example:* An employee retires and sells her home relying on a promise of a lifetime pension; the employer is estopped from stopping the pension payments.
- **Mutuality in Requirements and Output Contracts:** Promising to buy all goods your business "requires" is enforceable because the implied duty of good faith supplies mutuality.
 - *Example:* An airline contracts to buy all its jet fuel requirements from a single supplier; the contract is enforceable despite no fixed gallon quantity.
- **Illusory Promises:** Promising to buy only what you "choose to order" leaves performance completely optional, rendering the promise illusory and void.
 - *Example:* A factory agrees to buy "all the coal we choose to order" at \$50/ton; the factory is not bound, so the coal miner is not bound.
- **Disputed vs. Undisputed Debts (Accord and Satisfaction):** Cashing a check marked "payment in full" discharges a debt only if the amount was in good-faith dispute; if undisputed, the creditor can collect the rest.
 - *Example:* A debtor owes an undisputed \$10,000 but sends an \$8,000 check marked "payment in full"; cashing it does not discharge the remaining \$2,000.

- **Compromise of an Invalid Legal Claim:** Forbearing from bringing a lawsuit provides consideration for a settlement payment if the claimant had an honest, good-faith belief in the claim's validity.
 - *Example:* A mother honestly believes a man is her child's father and agrees not to file a paternity suit in exchange for expenses; the settlement is valid even if a blood test later proves he is not the father.

Defenses to Formation & Statute of Frauds

- **Statute of Frauds Scope (MY LEGS):** Contracts within the Statute of Frauds require a signed writing: **M**arriage consideration, agreements incapable of performance within one **Y**ear, transfers of interests in **L**and, **E**xecutor promises to pay estate debts personally, sales of **G**oods for \$500 or more, and **S**uretyship promises.
 - *Example:* An oral promise to transfer 50% of a condo deed if a partner agrees to marry is unenforceable under the marriage provision of the Statute of Frauds.
- **Suretyship Writing Requirement:** An oral promise to answer for the debt or default of another is unenforceable under the Statute of Frauds.
 - *Example:* A father orally tells a bank, "Lend my son \$10,000, and if he doesn't pay you back, I will"; the promise is unenforceable without a writing.
- **Main Purpose Exception to Suretyship:** An oral suretyship promise is enforceable without a writing if the promisor guaranteed the debt primarily to serve their own economic interest.
 - *Example:* A commercial developer orally promises to pay a drywall supplier if a contractor defaults, doing so solely to prevent costly delays on his own building; the promise is enforceable.
- **One-Year Performance Rule:** The Statute of Frauds applies only if full performance is impossible within one year; a 3-year job needs a writing, but a lifetime job does not because the worker could die within a year.
 - *Example:* An employer orally hires a manager for life at \$50,000/year; the contract is enforceable without a writing because the employee could die within one year.
- **Part Performance for Real Estate Deals:** An oral real estate sale is enforceable if the buyer satisfies at least two of three things: pays part of the price, takes possession, or builds substantial improvements.
 - *Example:* A buyer pays a \$10,000 down payment on an oral land deal, moves onto the farm, and builds a \$50,000 barn; the deal is enforceable under part performance.
- **UCC Merchant Confirmatory Memo Rule:** In merchant deals for goods over \$500, a signed confirmation memo binds the receiving merchant too, unless they object in writing within 10 days.

- *Example:* A wholesaler orally agrees to sell 500 widgets for \$5,000 and sends a signed confirmation email; the retailer reads it and stays silent; the contract is enforceable against the retailer.
- **Statute of Frauds Quantity Ceiling:** A written memo satisfies the UCC Statute of Frauds only up to the quantity stated in the writing.
 - *Example:* An oral phone deal is for 50 widgets, but the seller's memo accidentally confirms 500; the Statute of Frauds allows enforcement only up to the 50 units actually agreed upon.
- **Specially Manufactured Custom Goods:** Oral agreements for goods over \$500 are enforceable if the items are custom-made with unique logos, unsellable to others, and production has substantially begun.
 - *Example:* A shop orally orders 600 custom jackets with its unique logo for \$6,000; once the manufacturer finishes 400 jackets, the buyer cannot cancel under the Statute of Frauds.
- **Partial Payment / Partial Acceptance of Goods:** Partial payment or delivery removes an oral contract for goods from the Statute of Frauds, but only for the specific units already paid for or accepted.
 - *Example:* A buyer orally agrees to buy 10 antique coins for \$1,000 (\$100 each) and sends a \$400 check, which the dealer deposits; the deal is enforceable up to exactly 4 coins.
- **Oral Modifications Crossing the \$500 Threshold:** If an oral modification pushes the total price of a contract for goods to \$500 or more, the modification itself must be in writing.
 - *Example:* Parties orally agree to modify a \$450 typewriter ribbon contract to \$650; the modification is unenforceable because the new total exceeds \$500 and lacks a writing.
- **Capacity (Minors):** Contracts made by minors are voidable; a minor can disaffirm and return whatever remains of the item in its damaged condition for a full refund.
 - *Example:* A 16-year-old buys a used car for \$5,000, totals it in an accident, and returns the wrecked frame; the dealer must refund the \$5,000.
- **Minor Liability for Necessaries:** If a minor contracts for necessities (food, shelter, basic medical care), they can disaffirm the contract, but must pay the reasonable value of what they used under quasi-contract.
 - *Example:* A 17-year-old leases an apartment for 3 months at \$1,000/month and disaffirms; the landlord can recover the reasonable rental value of the 3 months lived there.
- **Ratification by Minors Upon Majority:** A minor ratifies a contract and loses the power to disaffirm if they retain the benefits and keep making payments after turning 18.
 - *Example:* A 17-year-old buys a moped on monthly payments and keeps making payments until his 19th birthday; the contract is ratified and enforceable.

- **Mental Incapacity (Adjudicated Incompetent):** Contracts made by a person who has already been formally adjudicated mentally incompetent by a probate court are void as a matter of law.
 - *Example:* A person with severe dementia who was adjudicated incompetent by a judge wanders into a dealership and signs for an \$80,000 car; the contract is void.
- **Intoxication Defense:** A contract is voidable for intoxication only if the person was so impaired that they did not understand the legal consequences of their act, and the other party knew it.
 - *Example:* A seller signs a napkin agreeing to sell her sports car for \$500 while drinking; the defense works only if she was so drunk she did not comprehend the legal effect.
- **Undue Influence:** A transaction can be rescinded for undue influence when a dominant caregiver uses unfair psychological pressure on a vulnerable, dependent person to extract an unfair deal.
 - *Example:* A live-in nurse convinces an isolated 90-year-old patient that his family abandoned him and pressures him to sell his \$1,000,000 house for \$100,000; the sale can be rescinded.
- **Economic Duress:** A contract modification is voidable for economic duress if one party makes an unlawful threat to breach, leaving the victim with no reasonable alternative and facing financial ruin.
 - *Example:* A valve supplier threatens not to deliver the day before an aerospace deadline unless the buyer doubles the price, knowing the buyer cannot get parts elsewhere; the price increase is voidable.
- **Procedural and Substantive Unconscionability:** A court will refuse to enforce a clause if there is both bargaining unfairness (procedural) and an overly harsh, oppressive term (substantive).
 - *Example:* A store buries a clause in tiny print on the back of a receipt allowing repossession of \$5,000 worth of paid-for furniture if a consumer defaults on a \$5 lamp; the clause is unconscionable.
- **Mutual Mistake Regarding Core Identity:** A contract is voidable if both parties were mistaken about a basic factual assumption going to the core identity or nature of the item.
 - *Example:* A rancher sells a cow for \$500 because both parties genuinely believe she is barren; discovering she is pregnant and worth \$5,000 allows the seller to rescind for mutual mistake.
- **Conscious Ignorance Allocates Risk:** A party cannot claim mutual mistake if they entered into the deal knowing they had limited knowledge and chose to proceed without checking.
 - *Example:* An estate owner sells an old violin for \$100 at a yard sale without getting it appraised; he cannot rescind when the buyer discovers it is a genuine Stradivarius.
- **Unilateral Mistake Known to the Other Party:** A unilateral mistake voids a contract if the non-mistaken party knew of the error and took unfair advantage of it.

- *Example:* A buyer secretly knows an antique painting is an authentic Rembrandt, while the seller thinks it is cheap junk; the seller can rescind because the buyer exploited a known mistake.

Terms, Interpretation & Parol Evidence Rule

- **Parol Evidence Rule (Completely Integrated Contracts):** If a written contract is intended as the complete and final expression of the deal (has a merger clause), prior oral promises that contradict or add to it are barred.
 - *Example:* A written commercial lease states the HVAC is taken "as-is" with a merger clause; the tenant cannot introduce evidence of the landlord's prior oral promise to fix the heating.
- **Parol Evidence Rule (Partially Integrated Contracts):** If a writing is final but incomplete, consistent additional oral terms are admissible to supplement the agreement, but contradictory oral terms are barred.
 - *Example:* A contract for 500 laptops contains no merger clause and says nothing about accessories; evidence of the seller's oral promise to include carrying cases is admissible.
- **Collateral Agreements Exception:** The Parol Evidence Rule does not bar evidence of a distinct oral agreement supported by separate consideration that covers a separate subject matter.
 - *Example:* During a home closing, the seller orally agrees to sell his riding lawnmower for an extra \$500; evidence of the lawnmower deal is admissible because it is a separate collateral contract.
- **Condition Precedent to Formation Exception:** Parol evidence is always admissible to prove an oral agreement that the entire contract would not take effect until a condition happened.
 - *Example:* A buyer signs a car contract but orally agrees with the dealer that the deal only takes effect if the bank approves a \$15,000 loan tomorrow; evidence of the loan condition is admissible.
- **Fraud, Duress, and Mistake Exception:** Extrinsic evidence of intentional lies, fraudulent inducement, or scrivener errors is always admissible to invalidate or reform a contract.
 - *Example:* A seller orally lies that a car's engine is brand new to induce a buyer to sign an "as-is" contract; evidence of the fraudulent statement is admissible.
- **Extrinsic Evidence to Interpret Ambiguities:** Extrinsic evidence of trade custom, course of dealing, or conversations is admissible to explain what an ambiguous term means.
 - *Example:* A contract calls for delivery of "Grade A lumber," which has two conflicting meanings in the trade; extrinsic evidence is admissible to show how the trade defines the term.
- **Interpretation Hierarchy (Express Terms Control):** Express contract terms control over inconsistent trade usage, course of performance, or course of dealing.

- *Example:* A contract defines pine logs as "measuring exactly 12 feet"; the seller cannot deliver 11.5-foot logs even if industry trade custom allows logs between 11 and 13 feet.
- **Conspicuous Disclaimers of Implied Warranties:** The implied warranty of merchantability can be disclaimed by using the word "merchantability" or "as is," but written disclaimers must be conspicuous.
 - *Example:* An appliance store buries an "as is" disclaimer in size 6 font on page 10 of a toaster manual; the disclaimer fails because it is not conspicuous.
- **Express Warranties Cannot Be Disclaimed by Fine Print:** An explicit express warranty on packaging cannot be negated by fine-print disclaimers inside.
 - *Example:* A box boldly states "Guaranteed to run on Mac," but the pamphlet inside disclaims all express warranties; the express warranty on the box controls.
- **Implied Warranty of Title:** Every sale of goods includes an implied warranty that the seller owns the property cleanly; selling stolen merchandise breaches this warranty even if the seller was innocent.
 - *Example:* An art collector innocently sells a painting that turns out to have been stolen from a museum years ago; the seller breached the implied warranty of title.

Performance, Conditions & Breach

- **Express Conditions Require Strict Compliance:** Express conditions require literal compliance, and failure to meet the exact condition excuses the other party's performance.
 - *Example:* A land purchase is expressly conditioned on obtaining a zoning permit by June 1; getting the permit on June 2 excuses the buyer from having to purchase the land.
- **Subjective Standard for Personal Aesthetic Conditions:** Express satisfaction conditions for portraits or artistic works use a subjective test; personal dissatisfaction excuses payment if genuine.
 - *Example:* An owner contracts for a portrait conditioned on personal satisfaction; if the owner genuinely dislikes the painting, he does not have to pay, even if art critics praise it.
- **Objective Standard for Commercial/Utility Conditions:** Express satisfaction conditions for commercial repairs or warehouse painting use an objective reasonable-person standard.
 - *Example:* A contract to paint a commercial warehouse is conditioned on owner satisfaction; if a reasonable person would be satisfied with the paint job, the owner must pay.
- **Prevention Doctrine Excuses Conditions:** A party cannot claim an express condition failed if they acted in bad faith to cause that failure.

- *Example:* A buyer makes a home purchase conditioned on getting a mortgage, but deliberately applies for an impossible 2% loan to sabotage the deal; the condition is excused and the buyer must buy.
- **Death Excuses Personal Approval Conditions:** If an express condition requires approval from a specific architect who unexpectedly dies, the condition is excused by objective impossibility.
 - *Example:* Final payment on a house is conditioned on an approval certificate from Architect Smith, who dies in a car crash before inspecting; the condition is excused and the owner must pay.
- **Retraction of a Condition Waiver:** A party who waives a condition before it happens can retract that waiver upon reasonable notice, provided the other party did not materially rely on it.
 - *Example:* An owner waives a certificate requirement but changes his mind weeks before completion; because the builder did not change position in reliance, the waiver is successfully retracted.
- **Constructive Conditions of Exchange (Work Precedes Cash):** When a contract is silent on timing, the party whose job takes time must finish before the party who pays cash is required to pay.
 - *Example:* A contractor agrees to build a garage for \$10,000 with no payment schedule specified; the homeowner is not obligated to pay until the garage is completed.
- **Simultaneous Performances (Concurrent Conditions):** When performances can occur simultaneously, neither party is in breach until the other tenders performance.
 - *Example:* A car buyer demands the title before showing the money, while the seller refuses to hand over the title until the cash is tendered; neither is in breach until one tenders performance.
- **Substantial Performance in Construction:** Under Common Law, an unintentional, minor variation that does not diminish property value entitles the builder to the contract price minus any drop in value.
 - *Example:* A builder accidentally installs Cohoes copper pipes instead of Reading pipes of identical quality and value; the owner must make the final payment because the builder substantially performed.
- **Willful Breaches Defeat Substantial Performance:** The substantial performance doctrine protects only innocent mistakes; a builder who willfully cuts corners commits a material breach.
 - *Example:* A builder deliberately uses cheaper pipes to spite the owner and pocket the savings; the builder committed a material breach and cannot recover on the contract.
- **Divisible Contracts (Apportioned Units):** If a contract prices work by distinct units, a party who completes some units can recover the contract price for those completed units minus breach damages.

- *Example:* A contractor agrees to build 5 storage sheds for \$10,000 each, completes 3, and walks away; he is entitled to \$30,000 minus whatever damages the owner suffered to finish the other 2.
- **UCC Perfect Tender Rule for Single Shipments:** In a single delivery of goods, if the goods fail in any respect to conform (even minor color or quantity variances), the buyer may reject the whole shipment.
 - *Example:* A buyer orders 100 green desktop lamps, and the seller delivers 99 green lamps and 1 red lamp; the buyer can reject the entire shipment.
- **Seller's Right to Cure Before the Expiration Date:** If a buyer rejects nonconforming goods early, the seller has an absolute right to cure by delivering conforming goods before the deadline.
 - *Example:* Goods due May 15 arrive nonconforming on May 10 and the buyer rejects them; the seller can seasonably notify the buyer and deliver conforming goods by May 15.
- **Seller's Right to Cure After the Delivery Date:** If the delivery deadline has passed, the seller gets extra time to cure only if prior dealings gave them reason to believe the goods would be acceptable.
 - *Example:* A wholesaler delivers burgundy shirts instead of red shirts on the deadline date, having successfully delivered burgundy in three past shipments; the seller gets reasonable extra time to cure.
- **Substantial Impairment in UCC Installment Contracts:** A buyer can reject an installment only if the defect substantially impairs that delivery, and can cancel the entire contract only if it impairs the whole deal.
 - *Example:* In a 10-month flour contract of 100 lbs/month, Month 1 arrives with 99 lbs; the buyer cannot cancel the whole contract because a 1-lb shortage does not substantially impair the whole deal.
- **Revoking Acceptance for Latent Defects:** A buyer who accepts goods can revoke acceptance if a defect substantially impairs their value and was difficult to discover during initial inspection.
 - *Example:* A factory accepts metal car parts that look fine, but discovers a hidden metal alloy defect during installation two weeks later; the factory can revoke its acceptance.
- **Failure to Timely Reject Constitutes Acceptance:** A buyer impliedly accepts nonconforming goods if they fail to inspect and reject them within a reasonable time.
 - *Example:* A retailer receives 7-foot boards instead of 8-foot boards, stores them, and waits four months until sued to complain; the retailer accepted the boards and must pay.
- **Payment Before Inspection Does Not Waive Inspection:** Paying for goods prior to inspection under COD terms does not constitute acceptance or waive the right to inspect and reject.

- *Example:* A buyer pays for a shipment of construction studs before uncovering the truck as required by contract; paying does not waive the right to inspect and reject nonconforming studs.
- **Cash Demand Entitles Buyer to Reasonable Time:** If a contract is silent on payment, tendering a check is valid; if the seller demands cash, the buyer gets a reasonable time to get cash.
 - *Example:* A car buyer tenders a personal check on delivery day and the dealer refuses it demanding cash; the dealer cannot cancel immediately and must give the buyer reasonable time to get cash.
- **Elements of Anticipatory Repudiation:** Anticipatory repudiation requires a clear, unequivocal refusal to perform; ambiguous statements are not repudiations.
 - *Example:* A seller emailing "I might not be able to deliver on October 1 due to supply chain issues" has not repudiated because the statement is not an unequivocal refusal.
- **Right to Demand Written Assurances:** Ambiguous statements giving reasonable grounds for insecurity allow a party to demand adequate assurances in writing; failure to respond within 30 days is a repudiation.
 - *Example:* A buyer receives an email saying a supplier is having trouble and might be late; the buyer can demand written assurances, and the supplier's silence for 30 days counts as a total repudiation.
- **Retraction of Anticipatory Repudiation:** A repudiating party can retract their repudiation before performance is due, unless the other side canceled, relied on it, or hired a replacement.
 - *Example:* A contractor repudiates on June 15, and the owner hires a replacement contractor on June 16; the original contractor's attempt to retract on June 17 is ineffective.
- **Buyer Insolvency Remedies:** A buyer's technical insolvency is not an automatic repudiation, but allows the seller to demand cash, withhold delivery, or stop goods in transit.
 - *Example:* A seller discovers a credit buyer has become insolvent while laptops are on a freight train; the seller can order the railroad to stop delivery in transit.

Excuses, Discharge & Impossibility

- **Destruction of Subject Matter (Objective Impossibility):** Performance is excused if the specific building, venue, or physical property essential to the contract is accidentally destroyed.
 - *Example:* A concert promoter rents an outdoor pavilion for a concert, and a freak hurricane levels the pavilion two days before the event; performance is excused by impossibility.
- **Specified vs. Generic Goods Destruction:** If a contract specifies that crops must come from a designated field, destroying that field excuses performance; if generic, the seller must cover on the market.

- *Example:* A contract calls for wheat harvested "exclusively from Farmer's West Field"; when a flood destroys that specific field, the farmer is excused from delivery.
- **Death in Personal Service Contracts:** Contracts requiring the unique personal skills or artistry of a specific individual are discharged by impossibility upon that person's death or disabling illness.
 - *Example:* A famous singer contracts to perform a solo set at a wedding, but contracts a severe throat infection and completely loses his voice; performance is discharged by impossibility.
- **Supervening Illegality Excuses Performance:** A party's duty to perform is discharged under commercial impracticability if a new government regulation or trade embargo makes performance illegal.
 - *Example:* A textile company contracts to import Rhodian silk, but the federal government passes an embargo making importing the silk a felony; the company is excused from performance.
- **Temporary Impracticability Suspends Performance:** A temporary interruption (like a short labor strike) merely suspends performance duties while it lasts; it does not discharge the deal.
 - *Example:* A national trucking strike halts construction shipments for two months; the builder's duty is temporarily suspended during the strike, not permanently discharged.
- **Frustration of Purpose Standard:** Performance is excused under frustration of purpose if an unforeseen event wipes out the mutually understood, primary reason for entering the contract.
 - *Example:* A hall is rented specifically for a 10 PM loud rock concert, and the city suddenly passes an emergency noise ordinance banning amplified sound after 8 PM; the rental is excused.
- **Mutual Rescission Requires Both Sides to Be Executory:** Parties can mutually cancel a contract without new consideration only if duties remain unperformed on both sides.
 - *Example:* A painter finishes painting a fence completely, and then agrees with the homeowner to cancel the deal so the homeowner doesn't have to pay; the rescission is void for lack of consideration.
- **Mutual Rescission Wipes Out Restitution Claims:** If parties mutually agree to cancel a contract before either has fully performed, neither can sue for the value of partial work completed.
 - *Example:* A painter paints the doors and trim, asks to get out of the deal to take another job, and the homeowner agrees; the painter cannot sue to get paid for the trim work done.
- **Accord and Satisfaction:** An accord suspends the original debt, but only actual performance of the accord (satisfaction) discharges the debt; if breached, the creditor can sue on the original debt.

- *Example:* A buyer owes \$50,000, and the seller agrees to accept \$45,000 cash by Friday in full satisfaction; if the buyer fails to pay by Friday, the seller can sue for the full \$50,000.
- **Novation Releases the Original Obligor:** A novation requires the agreement of all parties to substitute a new obligor for an original contracting party, completely releasing the original obligor.
 - *Example:* A homeowner, an original painter, and a replacement contractor all agree that the replacement will take over the job and the original painter is released; the original painter has no liability.
- **Destruction of New Construction Does Not Excuse Performance:** Accidental destruction of a brand-new building under construction does not excuse the builder, and walking away yields zero recovery.
 - *Example:* A builder contracts to build a brand-new warehouse for \$60,000; when it is 25% complete, lightning destroys it; the builder cannot walk away and recovers \$0 for the lost work.
- **Destruction of Existing Building Allows Restitution:** If an existing structure is destroyed while being repaired, the contractor's duty is discharged and they recover in restitution for work completed.
 - *Example:* A contractor agrees to re-shingle an existing house roof for \$5,000; when \$1,500 worth of work is completed, an accidental fire destroys the house; the roofer recovers \$1,500.
- **UCC Risk of Loss in FOB Shipment Contracts:** In an "FOB Seller's Plant" contract, the risk of loss passes to the buyer the moment the goods are safely delivered to the carrier.
 - *Example:* A manufacturer ships 100 guitars "FOB Seller's Plant"; a hurricane destroys the delivery truck on the highway; the buyer bears the risk of loss and must pay for the guitars.
- **UCC Risk of Loss in FOB Destination Contracts:** In an "FOB Buyer's Warehouse" contract, the risk of loss stays on the seller until the goods are tendered at the buyer's destination.
 - *Example:* A contract states "FOB Buyer's Warehouse"; the carrier's truck crashes one mile before reaching the warehouse; the seller bears the risk of loss.
- **Breach Keeps Risk of Loss on the Seller:** If a seller tenders nonconforming goods, the risk of loss stays on the seller even in an FOB shipment contract destroyed by an act of God.
 - *Example:* A buyer orders blue widgets under an "FOB Seller's Plant" contract, but the seller ships red widgets; if a tornado destroys the truck in transit, the seller bears the risk of loss.

Third-Party Beneficiaries, Assignments & Delegations

- **Intended Creditor vs. Donee Beneficiaries:** A beneficiary is a creditor beneficiary if the deal was made to pay off an existing debt, and a donee beneficiary if the deal was meant as a gift.
 - *Example:* A mother pays a tutor \$500 to tutor her son for his exams; the son is an intended donee beneficiary because the tutoring was arranged as a gift.
- **Incidental Beneficiaries Have No Standing:** Third parties who merely receive an indirect benefit from a contract have no legal standing to sue.
 - *Example:* A city contracts with a paving company to pave Elm Street; a homeowner on Elm Street whose property value would rise \$10,000 cannot sue the paver for abandoning the job.
- **Vesting of Third-Party Beneficiary Rights:** The original parties can modify or cancel a contract without the beneficiary's consent until the beneficiary's rights vest by assent, reliance, or suing.
 - *Example:* An aunt contracts with a college to pay her nephew's tuition; before the nephew ever hears of the deal, the aunt and college cancel it; the nephew has no claim because rights never vested.
- **Promisor Defenses Against Beneficiaries:** A promisor can assert any contract defense against a third-party beneficiary that they could have raised against the original promisee.
 - *Example:* A painter paints a house under a contract directing payment to the owner's son, but the owner committed fraud to induce the deal; the painter can assert the fraud defense against the son.
- **Donee Beneficiary Cannot Sue Promisee:** An intended donee beneficiary can sue the promisor who promised to perform, but cannot sue the promisee who set up the gift.
 - *Example:* An uncle contracts with a dealership to deliver a car to his niece as a graduation gift; if the dealership fails to deliver, the niece can sue the dealer, but cannot sue her uncle.
- **Creditor Beneficiary Can Sue Both Parties:** An intended creditor beneficiary can sue both the promisor on the contract and the original debtor on the underlying debt.
 - *Example:* A debtor contracts with a painter to paint a fence, with payment going to a creditor to pay off a loan; if the painter doesn't pay, the creditor can sue the painter or the debtor.
- **Prohibiting vs. Voiding Assignments:** A clause stating assignments are "prohibited" only destroys the right to assign (assignee can still collect, but assignor breached); only the word "VOID" kills the power to assign.
 - *Example:* A contract states "assignments are void," and a contractor assigns his payment right to a bank; the assignment is legally dead and the bank gets nothing.

- **The Right to Payment Is Always Assignable:** Contract clauses that prohibit assignment do not stop a party from assigning their right to get paid for work already finished.
 - *Example:* A paving company finishes paving a street under a contract barring assignments, and assigns its \$50,000 payout to a bank; the assignment of the payment right is valid.
- **Gratuitous Assignments Become Irrevocable Upon Performance or Reliance:** A gift assignment is revocable, but becomes irrevocable once the obligor pays the assignee or the assignee relies on it.
 - *Example:* An uncle tells a debtor to pay a \$500 debt to his friend as a gift; once the debtor hands the cash to the friend, the uncle cannot revoke the gift assignment.
- **Death Revokes Gratuitous Assignments:** A revocable gift assignment automatically terminates upon the assignor's death if payment has not yet been made and no reliance occurred.
 - *Example:* An uncle assigns a tenant's rent to his niece as a gift, but dies before the tenant pays or the niece relies; the assignment terminates and the rent belongs to the uncle's estate.
- **Obligor Discharged by Payment Without Notice:** An obligor who pays the original assignor in good faith without notice of an assignment is completely discharged.
 - *Example:* A game designer assigns his royalty rights to a friend but never tells the software publisher; when the publisher pays the designer directly, the publisher is completely discharged.
- **Non-Delegable Personal Service Duties:** Duties requiring specialized personal talent, artistic skill, or unique professional trust cannot be delegated without consent.
 - *Example:* A famous artist contracts to paint a personalized family portrait for \$50,000; the artist cannot delegate the painting duty to his apprentice without the client's consent.
- **Delegation of Routine Commercial Duties:** Routine, mechanical tasks can be delegated freely without consent unless the contract contains an express anti-delegation clause.
 - *Example:* A contractor hired to mow the grass around a wedding venue delegates the mowing to a friend; the delegation is valid because lawn mowing is routine labor.
- **Delegating Leaves the Delegator Secondarily Liable:** A valid delegation does not get the original obligor off the hook; the delegator remains liable as a backup unless a novation occurs.
 - *Example:* A painter delegates painting a fence to a friend who ruins the fence; the homeowner can sue both the friend and the original painter.
- **Assignments Cannot Materially Increase Obligor Burdens:** Requirements contracts cannot be assigned if transferring the deal to a party with vastly different requirements overburdens the supplier.

- *Example:* A small bakery using 100 lbs of flour a week sells its business to a mega-factory using 10,000 lbs a week; assigning its requirements contract to the mega-factory is invalid.

Remedies, Calculations & Math Rules

- **General Expectation Damages Formula:**

$$\text{Damages} = \text{Lost Net Profit} + \text{Reliance Costs Incurred} - \text{Salvage/Mitigation}$$

- *Math Calculation:* Find expected net profit by subtracting total estimated costs from the contract price; add out-of-pocket expenses already incurred; subtract any money recovered from selling leftover materials.
- *Example:* A builder agrees to build a custom machine for \$100,000 that would cost \$80,000 to construct (\$20,000 expected profit). After spending \$20,000 on parts, the buyer breaches. The builder halts work and sells the scrap metal for \$5,000. Damages equal \$20,000 (profit) + \$20,000 (costs incurred) - \$5,000 (scrap) = **\$35,000**.

- **Cost to Complete for Construction Abandonment:**

Owner's Damages

$$= (\text{Amount Paid to Breaching Contractor} + \text{Cost of Replacement Contractor}) - \text{Original Contract Price}$$

- *Math Calculation:* Add what the owner already paid the breaching contractor to what they had to pay the new contractor; subtract the original contract price to find the excess cost.
- *Example:* A homeowner hires a builder to build a pool for \$20,000 and pays \$10,000 in progress payments before the builder walks off. The homeowner pays a replacement contractor \$15,000 to finish. Total cost incurred is \$10,000 + \$15,000 = \$25,000. Damages equal \$25,000 - \$20,000 = **\$5,000**.

- **Construction Defect (Cost of Repair vs. Diminution in Value):**

$$\text{Damages} = \text{Cost to Repair or Complete to Specifications}$$

- *Math Calculation:* Measure damages by what it costs to fix the defect to meet specifications, unless the cost to fix is grossly disproportionate to the actual change in market value.
- *Example:* A builder constructs a factory for \$250,000 that fails to meet ventilation specifications; fixing it costs \$12,000, though the building's overall market value is unchanged; damages equal **\$12,000**.

- **Consequential Damages Foreseeability (*Hadley v. Baxendale*):**

$$\text{Recoverable Damages} = \text{Special Losses Foreseeable at Contract Formation}$$

- *Math Calculation:* Deny recovery for lost operating profits during a shutdown unless the plaintiff proves the carrier had notice of the special circumstances when the contract was made.

- *Example:* A miller pays a carrier to transport a broken crankshaft without mentioning the mill is closed without it; the carrier delays delivery by 5 days, causing \$50,000 in lost mill profits; recoverable consequential damages equal **\$0**.

- **Incidental Damages (Handling and Storage Costs):**

Recoverable Incidental Damages = Reasonable Commercial Expenses Incurred Handling Breach

- *Math Calculation:* Add all reasonable out-of-pocket costs spent caring for, transporting, or storing goods after a breach, even if the goods were resold at full price.
- *Example:* A buyer backs out of a \$100,000 car contract; the dealer incurs \$2,000 in garage storage fees while finding a replacement buyer who purchases the car for \$90,000; recoverable damages equal \$10,000 (price gap) + \$2,000 (storage) = **\$12,000**.

- **UCC Buyer Cover Damages Formula:**

Damages = (Cover Price – Contract Price) + Incidental/Consequential Damages – Expenses Saved

- *Math Calculation:* Subtract the original contract price from the cost of replacement goods purchased in good faith, and add incidental expenses.
- *Example:* A buyer contracts for widgets at \$10 each (\$10,000 total). The seller repudiates. The buyer covers by purchasing substitute widgets on the open market for \$12 each (\$12,000 total), spending \$500 in shipping. Damages equal (\$12,000 - \$10,000) + \$500 = **\$2,500**.

- **UCC Buyer Market Damages Formula (When Buyer Does Not Cover):**

Damages = (Market Price at Time of Breach – Contract Price) + Incidental Damages – Expenses Saved

- *Math Calculation:* Subtract the contract price from the market price at the time the buyer learned of the breach.
- *Example:* A farmer contracts to sell 2,000 bushels of beans at \$2/bushel. The farmer fails to deliver 1,000 bushels. On delivery day, the market price is \$2/bushel. Compensatory damages equal (\$2 market price - \$2 contract price) × 1,000 bushels = **\$0**.

- **UCC Seller Resale Damages Formula:**

Damages = (Contract Price – Resale Price) + Incidental Damages – Expenses Saved

- *Math Calculation:* Subtract the resale price from the original contract price and add incidental storage costs.
- *Example:* A buyer contracts to buy an antique car for \$100,000 and breaches. The seller resells it in a commercially reasonable manner for \$90,000. Damages equal \$100,000 - \$90,000 = **\$10,000**.

- **UCC Warranty Damages Formula:**

Warranty Damages = Value of Goods as Warranted – Value of Goods as Delivered

- *Math Calculation:* Subtract the actual market value of the defective goods accepted from what their market value would have been had they matched the warranty.
- *Example:* A farmer buys a tractor warranted to have a heavy-duty transmission (fair market value \$50,000); it is delivered with a standard transmission (fair market value \$35,000); warranty damages equal \$50,000 - \$35,000 = **\$15,000**.

- **Lost Volume Seller Doctrine (Math Rule):**

Damages = Contract Price – Wholesale Cost (Lost Profit)

- *Math Calculation:* When a merchant with unlimited inventory resells an identical item for full price after a breach, award the full profit margin lost on the breached sale because the dealer would have made two sales instead of one.
- *Example:* An auto dealer with access to unlimited factory inventory contracts to sell a sedan for \$30,000 (which yields a \$5,000 profit over its \$25,000 wholesale cost). The buyer breaches. The dealer resells the exact sedan the next day to another customer for \$30,000. Damages equal **\$5,000** in lost profit.

- **Private Resellers Are Not Lost Volume Sellers:**

Damages = Contract Price – Resale Price = \$0

- *Math Calculation:* When a private individual sells a single personal item and resells it for the exact contract price, compensatory damages equal zero.
- *Example:* A boat owner contracts to sell his personal used speedboat for \$50,000. The buyer breaches. The owner resells the boat the next day for \$50,000. Compensatory damages equal \$50,000 - \$50,000 = **\$0**.

- **Duty to Mitigate Wrongful Employee Discharges:**

Damages = Unpaid Balance of Salary – Earnings from Comparable Job + Job Search Expenses

- *Math Calculation:* Subtract earnings from a replacement job from the unpaid balance of the contract term, and add job-hunting advertising expenses.
- *Example:* A manager on a 5-year contract at \$2,000/month is wrongfully fired after 2 years. He spends \$100 advertising for a job and finds comparable work 6 months later at the same \$2,000/month salary. Damages equal (6 months × \$2,000 lost) + \$100 advertising = **\$12,100**.

- **Duty to Mitigate Commercial Leases:**

Landlord's Damages = Total Unpaid Rent – Rent Recoverable by Reasonable Mitigation Efforts

- *Math Calculation:* Subtract the rental value the landlord could have collected by making reasonable efforts to re-let the space from the unpaid lease balance.
- *Example:* A tenant abandons a 5-year, \$5,000/month lease after 1 year (leaving \$240,000 unpaid). The landlord makes no effort to re-let the space, though market evidence shows it could have been re-rented within 3 months. Damages are reduced by the rent a replacement tenant would have paid.

- **Enforceability of Liquidated Damages:**

Damages = Actual Compensatory Damages (if clause is an invalid penalty)

- *Math Calculation:* If a clause charges an arbitrary, grossly disproportionate daily amount compared to actual harm, strike the clause as a penalty and award only proven actual losses.
- *Example:* A contract to build a \$100,000 pedestrian bridge stipulates \$1,000,000/day for delays. The builder is 2 days late, causing \$1,000 in detour costs. The \$2,000,000 penalty is unenforceable, and the city recovers actual damages of **\$1,000**.

- **Specific Performance Alongside Liquidated Damages:**

Remedy = Specific Performance Available for Unique Land/Goods

- *Math Calculation:* An enforceable liquidated damages clause limits only money damages; it does not block equitable orders for specific performance.
- *Example:* A builder agrees to build on one parcel in exchange for the deed to an adjacent parcel with a liquidated damages clause. The owner breaches. The court can order the owner to convey the land.

- **Restitution for Breaching Parties (Deposit Refunds):**

Refund = Deposit Paid – Actual Damages Caused by Breach

- *Math Calculation:* Subtract the non-breaching party's proven damages from the breaching buyer's cash deposit to prevent unjust enrichment.
- *Example:* A buyer pays a \$10,000 deposit on a machine and unjustifiably breaches. The seller proves the breach caused exactly \$1,000 in actual storage and remarketing damages. The buyer recovers a restitution refund of \$10,000 - \$1,000 = **\$9,000**.

- **Specific Performance for Real Estate:**

Remedy = Conveyance of Title Ordered

- *Math Calculation:* Specific performance is granted because every parcel of real property is legally unique, making money damages inadequate.
- *Example:* A seller signs a contract to sell a historic mansion for \$1,000,000 and calls the buyer before closing saying "the deal is off"; the court will order the seller to transfer the deed.

- **Specific Performance for Unique Goods:**

Remedy = Delivery of Specific Goods Ordered

- *Math Calculation:* Order delivery of goods only if the items are custom-made, patented, or irreplaceable on the open market.
- *Example:* A manufacturer agrees to sell a custom, patented industrial machine with no open-market substitute and breaches; the court will order delivery of the machine.

- **Buyer's Right of Replevin for Pre-Paid Goods:**

Remedy = Replevin (Seizure of Goods Ordered)

- *Math Calculation:* Allow a buyer who paid part or all of the price to seize identified goods if the seller becomes insolvent within 10 days of receiving the first payment.
- *Example:* A buyer pre-pays \$10,000 for a finished custom laptop sitting in a shop, and the seller files for bankruptcy 5 days later; the buyer can replevy the laptop.

- **Adequacy of Consideration for Specific Performance:**

Evaluation Point = Adequacy Judged at Time of Contract Formation

- *Math Calculation:* Judge the fairness of the exchange as of the date the contract was entered into, not the date of breach.
- *Example:* A tenant quits her job to care for an elderly homeowner in exchange for a promise to leave her a farm upon death. The homeowner dies a few days later. Specific performance is granted because the uncertain burden of caretaking was fair consideration when the contract was made.